



DBT (Direct Benefit Transfer)

“Apna Adhikar, Apne Dwar” — Government Benefits Straight to Your Bank Account

- Guided by

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Introduction to DBT

- ▶ Direct Benefit Transfer (DBT) transfers subsidies & welfare payments directly into citizens' bank accounts.
- ▶ Launched on 1 January 2013 under the planning of the Government of India.
- ▶ Inspired by Brazil's 'Bolsa Família' — one of the world's largest cash-transfer programmes.
- ▶ **Built on the JAM Trinity — Jan Dhan Yojana + Aadhaar + Mobile.**
- ▶ Replaces the old 'indirect subsidy' system (cheaper PDS grain, LPG coupons) with direct cash.
- ▶ Covers scholarships, pensions, MGNREGA wages, gas subsidy, farmer income support and more.



Digital India — one phone, many services

What is Direct Benefit Transfer?

- ▶ **DBT = transferring money or entitlements directly from the Government to the eligible beneficiary's account.**
- ▶ Removes middlemen, agents and ghost beneficiaries from the delivery chain.
- ▶ Eligibility verified digitally through Aadhaar seeding & e-KYC.
- ▶ Payment routed through PFMS (Public Financial Management System) for tracking.
- ▶ Citizen can check payment status on the DBT Bharat portal (dbtbharat.gov.in).
 - **Objective: accuracy, transparency, speed & zero leakage.**



How DBT Works — The JAM Trinity

J — Jan Dhan Yojana

52+ crore bank accounts opened
for the unbanked

A — Aadhaar

Unique biometric ID verifies the
right beneficiary

M — Mobile

SMS alerts, UPI & apps deliver info
& money instantly

Government Scheme → Aadhaar e-KYC → PFMS payment order → Bank/UPI credit → SMS to citizen



Key Pillars of DBT

► PM Jan Dhan Yojana (2014)

- Zero-balance bank accounts; 30+ crore RuPay cards with accident insurance.

► Aadhaar (UIDAI, 2009)

- World's largest biometric ID — 130+ crore residents; enables e-KYC in seconds.

► Mobile & UPI

- 1,300+ crore UPI transactions a year make last-mile digital payment easy.

► PFMS + DBT Bharat portal

- Real-time tracking of every rupee sent by ministries.



Major Schemes Under DBT

- ▶ PM-KISAN — ₹6,000/year income support to every farmer household.
- ▶ LPG subsidy (PAHAL) — cash reaches 9+ crore Ujjwala families.
- ▶ MGNREGA wages credited directly to workers' accounts.
- ▶ Scholarships (NSP) & fellowships for students of all levels.
- ▶ Old-age, widow & disability pensions in most states.
- ▶ PM Matru Vandana Yojana — ₹5,000 maternity benefit.
- ▶ **600+ schemes across 60+ ministries are now on DBT.**

15 Government Schemes for Farmers in India			
Direct Income	Credit & Insurance	Infrastructure	Sustainability & Collectives
 Pradhan Mantri Kisan Samman Income support	 Pradhan Mantri Fasal Bima Yojana Crop insurance	 PM Krishi Sinchayeei Yojana Micro-irrigation	 Paramparagat Krishi Vikas Yojana Organic farming
 Kisan Credit Card Subsidized credit	 PM KUSUM Support for solar pumps	 Agriculture Infrastructure Fund Supports ware-houses	 National Beekeeping & Honey Mission Beekeeping promotion
 Kisan Credit Kard Subsidized credit	 Soil Health Card Soil nutrient analysis	 Kisan Rail & Krishi Udan Refrigerated transport	 Rashtriya Krishi Vikas Yojana State project grants
 Soil Health Card Soil nutrient analysis	 eNAM National Agriculture market	 Sub-Mission on Agricultural Mechanisation (SAMM)	 10,000 Farmer Producer Organisation Scheme FPO formation

DBT in Numbers

₹3.5 lakh crore

leakage removed since 2013 — DBT stopped ghost beneficiaries

55+ crore

DBT payments processed every year

₹35+ lakh crore

total benefits transferred to citizens (2013–2026)

600+

Central schemes delivering through DBT

Sources: DBT Bharat portal, Ministry of Finance reports (figures approximate).

Advantages of DBT

- ✓ Zero middlemen — benefit reaches the real person, not the agent
- ✓ Saves public money — cuts leakage, duplicates & fake entries
- ✓ Fast & transparent — PFMS tracks every rupee in real time
- ✓ Financial inclusion — bank accounts bring savings & credit access
- ✓ Empowers citizens — money can be spent as per family need
- ✓ Reduced corruption — no cash handling by officials

Challenges & Limitations

- ⚠ Internet & smartphone gaps in rural and tribal areas
- ⚠ Aadhaar authentication failures (fingerprint errors) block genuine users
- ⚠ Exclusion errors — deserving families removed for data mismatches
- ⚠ Bank account dormancy and long queues at Business Correspondents
- ⚠ Digital & financial illiteracy among elderly and women
- ⚠ Cyber fraud — fake calls and OTP scams targeting beneficiaries

Case Study: PM-KISAN & PAHAL (LPG)

PM-KISAN (2019)

- ▶ ₹6,000/year in three equal instalments to small & marginal farmer families.
- ▶ Fully DBT-driven: Aadhaar-verified list → e-KYC → direct bank credit.
- ▶ 11+ crore farmer families covered; payments visible on PM-KISAN app.
- ▶ Stopped decades of middlemen in farmer support schemes.

PAHAL — LPG Subsidy (2014)

- ▶ Buy LPG at market price; subsidy is credited straight to the bank account.
- ▶ Removed duplicate & ghost LPG connections — one of DBT's biggest wins.
- ▶ Combined with Ujjwala Yojana for clean cooking fuel to poor households.
- ▶ Saved thousands of crores by deleting fake consumers.

DBT & Public Administration

- ▶ Good Governance (Article-oriented): transparency, accountability & citizen-centric delivery.
- ▶ **Minimum Government, Maximum Governance — technology replaces files and middlemen.**
- ▶ Real-time MIS & dashboards help administrators monitor schemes district-wise.
- ▶ Social audit becomes easier when every payment is a digital record.
- ▶ Links with e-Governance tools: UMANG app, DigiLocker, CSC centres.
- ▶ **A textbook example of New Public Administration + digital era governance.**



Future of DBT



One Nation One Ration Card

Portable PDS benefits anywhere in India using Aadhaar



AI-based eligibility checks

Auto-detect deserving families from data, no application needed



CBDC & UPI 2.0

Programmable money — subsidy usable only for intended purpose



DigiLocker integration

No documents needed; verified records travel with the citizen



DBT 2.0 for states

More state schemes (pensions, scholarships) moving to direct transfer

Conclusion & References

- ▶ DBT transformed subsidy delivery — from leakage-prone cash to clean digital transfers.
- ▶ JAM Trinity made it possible at a scale no other country has matched.
- ▶ Challenges remain: digital divide, exclusion errors and cyber fraud.
- ▶ **Way forward: better connectivity, financial literacy & grievance redressal.**
- ▶ **“Apna Adhikar, Apne Dwar” — rights at the citizen's doorstep.**
- ▶ References: dbtbharat.gov.in • pfms.nic.in • Economic Times • StudyIQ



Direct Benefit Transfer
Government of India

Thank You! — Questions?